

SEC Comment Letter Analysis: Rule 611 / Rule 610(e) Rescission (File No. S7-2026-20)

The SEC's proposal to rescind the Order Protection Rule (Rule 611) and the locked/crossed markets prohibition (Rule 610(e)) has drawn a substantively rich, deeply divided comment record. Sophisticated institutional and academic commenters offer conditional support or mixed views; retail investors oppose rescission with near-unanimity. The shared diagnosis — that the current market structure has failed to incentivize displayed liquidity — is widely accepted. The proposed remedy is widely disputed.

~6% SUPPORT	~33% MIXED / CONDITIONAL	~61% OPPOSE
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Among 33 substantive commenters (duplicates, non-substantive, and off-topic letters excluded)

Top Themes

- Diagnosis accepted, remedy disputed:** Off-exchange volume now exceeds 50% for both NYSE and NASDAQ names; average trade size has fallen from 777 to 110 shares since 2005. The diagnosis is accepted — the remedy is not.
- Best execution is not a substitute:** A facts-and-circumstances standard cannot replace an objective, machine-verifiable protection. Europe's comparable standard lets 14–21% of orders miss the best price.
- QCT exemption gap:** Rescission eliminates the QCT safe harbor for options hedges with no replacement — an unaddressed legal vacuum flagged across three separate submissions.
- PFOF as root cause:** PFOF-driven internalization bypasses superior midpoint liquidity 40–93% of the time on affected orders — identified as a root cause of retail execution harm across the sophistication spectrum.
- Tokenization forces the issue:** On-chain venues cannot comply with real-time routing mandates — the strongest technical argument favoring rescission, though commenters split on whether the fix is rescission or extending trade-through rules to tokenized equities.
- Monitoring is non-negotiable:** Nearly every sophisticated commenter, regardless of position, calls for defined metrics, public reporting, and scheduled review if rescission proceeds.

Recommended Priority Actions

- 1. Close the QCT gap.** Issue a no-action letter or new safe harbor before finalizing any rule; the current silence creates immediate legal uncertainty for options market makers.
- 2. Issue explicit best execution guidance.** Clarify treatment of block trades, odd lots, and routing documentation before Rule 611 is rescinded, not after.
- 3. Require scenario analysis.** Publish low/medium/high scenarios for exchange disconnection, displayed liquidity, and execution quality impact.
- 4. Build a verification framework.** Pair any rescission with defined metrics (spreads, price improvement, venue concentration, locked/crossed frequency), public reporting, and review triggers.
- 5. Address PFOF and internalization.** Mandate wholesaler venue scanning before internalization, and address PFOF conflicts directly — named as a root cause across the record.
- 6. Build a tokenization framework.** Codify that regulatory category follows the asset, not the wrapper, so tokenized NMS equities remain subject to price discovery discipline.

Where Stakeholders Stand

Stakeholder Type	Support	Mixed	Oppose
Academic Researchers	1	0	0
Broker-Dealers / Intermediaries	0	3	0
Former Practitioners / Consultants	0	3	1
Individual Commentators	0	2	2
Retail Investors	0	1	16+

Pure support is rare and comes only from academics citing latency-arbitrage and blockchain-compatibility findings; retail opposition is near-universal and centers on execution quality and broker conflicts.

Consensus Across the Divide

- **Best execution is not a real-time substitute:** Academics, practitioners, and retail investors alike agree principles-based best execution cannot police individual orders in real time the way a bright-line rule can.
- **Monitoring is expected regardless of outcome:** Whether or not rescission proceeds, commenters across the spectrum want defined metrics, public reporting, and scheduled reviews — not a one-time deregulatory action.
- **Tokenization needs a framework either way:** Commenters disagree only on the fix: rescind Rule 611, or extend trade-through discipline to on-chain venues.

Bottom Line

The most defensible path is a conditional middle ground, not pure rescission or pure preservation: strict displayed-order priority, mandatory pre-internalization scanning, robust best execution enforcement, a defined post-rescission monitoring program, and a technology-neutral approach to tokenized equities. The European experience shows that getting this wrong can take a decade to correct — this decision warrants commensurate rigor.

Synthesizes substantive comment letters on File No. S7-2026-20; non-substantive, duplicate, and off-topic submissions excluded. Reflects the comment record, not the official position of the SEC.